

EG CONFERENCE CALL NOTES: On the ground in China: Assessing the reset of China-US relations and rising China-EU and China-Japan tensions

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CONFERENCE CALL NOTES

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On the ground in China: Assessing the reset of China-US relations and rising China-EU and China-Japan tensions

Short-term trajectory:

Long-term trajectory:

* Chinese officials expect US-China stability through the end of 2028 but anticipate a more hawkish successor to President Donald Trump; the one-year trade truce expiring on 10 November is widely expected to be extended, with Beijing pushing for an extension until the end of Trump's presidency.

* China-EU relations are likely heading toward trade conflict; Chinese officials are dismissive of European grievances though, confident in their retaliatory toolkit, and actively pursuing a divide-and-conquer strategy among EU member states.

* China-Japan relations are in a deep freeze with no off-ramp visible; Beijing is likely to expand rare earth restrictions and entity list designations, and bilateral improvement is not expected until Prime Minister Takaichi Sanae leaves office.

This is an AI-generated summary based on the call transcript. An audio recording of this call is available. You can access other Eurasia Group conference calls through a personalized link for select podcast readers here .

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US-China: Short-Term Stability, Long-Term Hawkishness

Chinese officials and academics convey short-term optimism and long-term concern about the bilateral relationship. The consensus view is that US-China relations will remain reasonably stable through the end of Trump's term in 2028, but whoever follows Trump is expected to be more hawkish toward China regardless of party.

The three institutional structures that emerged from the May summit between Trump and President Xi Jinping — the Board of Trade, the Board of Investment, and an AI Working Group — are the expected centerpieces of Xi's planned September visit to Washington. The Board of Trade is the most operationally defined; it began with a \$30-for-\$30 billion tariff reduction framework and is focused on defining and expanding that over time. The Board of Investment holds more upside potential in Chinese eyes but is at an earlier stage; Beijing wants clarity from Washington on which sectors are off-limits before it can move. The AI Working Group was also frequently raised by senior Chinese officials in recent meetings in Beijing. The view from the Chinese side is that the US and China are so far ahead of every other country that a G2-style framework for AI norms is ultimately inevitable, but deep mistrust makes meaningful cooperation, particularly any agreement to restrain AI development, very difficult.

The one-year trade truce is widely expected to be extended before it expires on 10 November. Beijing's preference is for an extension through the end of Trump's term rather than another 12-month rollover.

There has also been a structural shift in Beijing's approach to Trump from his first term; unlike in 2018, China no longer hopes to return to pre-trade-war normalcy with the US. China's current posture is reactive and retaliatory — Beijing watches what Washington does and responds. This is reflected in an expanding legislative and regulatory toolkit designed to enable faster, more calibrated retaliation to US actions that are perceived against China's interests.

Taiwan: Beijing Sanguine, For Now

Chinese officials express zero short-term appetite for escalation around Taiwan, particularly ahead of the Party Congress next year. Beijing stands ready to respond to red-line crossings — independence moves by Taipei or a meaningful uptick in US arms sales — but the current cross-strait dynamic is likely to continue for the foreseeable future.

Chinese officials are pleased by Trump's post-summit posture on Taiwan, which they interpreted as a softening of US deterrence. One leading Chinese academic on Taiwan described Trump as "God's gift to the Chinese people." Beijing also sees some optimism in domestic Taiwanese politics, including recent the visit of KMT Chairwoman Zheng Liwen to Beijing, though this is partly wishful thinking on Beijing's part.

China-EU: Heading Toward Conflict

Chinese officials and academics are dismissive of European concerns about trade imbalances. Beijing's view is that the EU-China trade imbalance reflects declining European competitiveness in future industries (EVs, clean tech), not Chinese subsidies or currency manipulation. Europe also lacks the AI investment boom that is driving US growth, leaving it without an alternative growth model.

China is confident in its retaliatory toolkit, believes EU pressure will not reach the scale of US pressure, and is actively working to exploit divisions among EU member states. Southern Europe (especially Spain) is seen as more receptive to Chinese investment, while old Europe (France, Germany) is more protectionist, and Northern/Eastern Europe is focused primarily on the threat from Russia. Beijing's

preference is to resolve trade tensions with the EU diplomatically, but relations will get worse before they get better. An October deadline for some form of deal is also plausible, with a "kick the can" approach seen as possible but not resolving underlying tensions.

For foreign companies in China, the operative phrase circulating is "China for global": China as a testing ground for global competitiveness, with the value of competing in a 1.4 billion-person market against world-class local rivals being equally important, if not more, to profit margins.

China-Japan: Deep Freeze With Downside Risk

Bilateral relations are deteriorating with no clear off-ramp. The proximate cause was Prime Minister Takaichi Sanae's parliamentary remarks in November on Japan's potential involvement in a Taiwan conflict, compounded by protocol disputes around the Xi-Takaichi meeting at APEC in October 2025. But grievances have broadened to include Japan's defense buildup, loosened arms export rules, long-range missile deployment, and security cooperation with the Philippines.

More Japanese entities will likely be added to China's export restriction lists, with potential expansion of dual-use export controls against Japan. A Takaichi visit to Shenzhen for APEC in November is anticipated, but a bilateral meeting with Xi is "exceedingly unlikely" given current marching orders from the top of the Chinese system.

Improvement in bilateral relations is not expected until Takaichi leaves office — and possibly long after. Beijing is hoping that economic underperformance and policy missteps could shorten her tenure, although the Eurasia Group's internal view is that she will remain in office for at least two more years.

China has been careful to contain spillover of bilateral tensions. There have been no state-sponsored boycotts of Japanese goods, and local governments remain actively courting Japanese business. But diplomatic and direct flight channels have been severely curtailed.

Japan's response is deliberately non-retaliatory. Tokyo's two-pronged strategy calls for aggressively building supply chain resilience across critical minerals and other chokepoints, while making clear to Washington that Japan's rare earth disruption is also America's supply chain disruption. Japan sees US pressure on Beijing as its most effective near-term lever on further Chinese escalation.

Rare Earths: A Weapon Being Sharpened, Not Holstered

Chinese officials are aware that deploying rare earth restrictions incentivizes diversification and reduces the weapon's future effectiveness. At least one leading Chinese academic on supply chains has advised the Chinese leadership that the restrictions are a strategic mistake.

However, the consensus view among officials is triumphalism. China was the only major country that fought back against US tariff pressure post-Liberation Day, and export controls on rare earths were its most effective tool. That lesson is now being applied to Japan and potentially Europe. Chinese officials believe that it will take years or decades for a viable non-Chinese rare earth supply chain to emerge, and

China intends to extract maximum leverage during that window. Beijing is actively learning how to calibrate and fine-tune the tool in the meantime. One scholar noted the rare earth card was debated but withheld in 2018, with its increasingly frequent deployment now reflecting a fundamental change in strategic calculation.

China Domestic: Stability, Conservatism, and Structural Drift

Political stability is assessed as solid. Public expectations have adjusted downward; the "new norm" of slower growth is widely accepted across income levels. There is no evidence of political turbulence ahead of the 21st Party Congress next year.

2027 will be an extremely politically conservative year. Risk-taking across all policy domains will be minimal. Officials face a structural dilemma: bold policy moves carry personal political risk if they fail, but passivity also carries risk under current campaign pressures for proactivity. The result is widespread complacency and inaction absent explicit direction from above.

On the economy: consumption stimulus remains elusive. The government lacks a credible mechanism to generate large-scale domestic demand beyond incremental programs (trade-in schemes, coupons, supply-side facility investment). The structural imbalance toward production over consumption is acknowledged as unsustainable by many decision-makers, but the response is to defer rather than reform. Debt resolution has been elevated as a priority — above growth — and that posture is expected to persist through at least 2027, when local government financing vehicles (LGFVs) are required to exit their current role in municipal financing.

AI dominates elite policy attention. Four of the last five Politburo meetings have featured technology as a primary or significant agenda item. Beijing is doubling down on its state-support mechanism, as reflected in the 15th Five-Year Plan, with strategic sector support expected to continue for decades; there is no clear evidence of a pivot toward consumption-led growth.

Key Watch Items

1. Xi's September Washington visit: Watch for deliverables on Board of Trade tariff expansion, Board of Investment sector clarity, Chinese purchase agreements, and whether the trade truce is extended for 12 months or through end of Trump's term.
2. China-EU October deadline: Monitor whether the two sides extend negotiations or move toward formal trade conflict; watch for Chinese efforts to peel off Southern European members from EU consensus.
3. China-Japan rare earth escalation: Track expansion of entity list designations and dual-use control lists over the next six months; assess whether Japanese supply chain disruptions begin registering with US companies and triggering White House pressure on Beijing.
4. Takaichi-Xi APEC interaction: A bilateral meeting is assessed as unlikely but remains the primary near-term trigger for a diplomatic thaw.
5. China domestic debt resolution: Monitor LGFV restructuring timelines ahead of the June 2027 deadline and any signals of elevated concern about external debt contagion following the Iran conflict.

What Clients Are Asking

China-Japan escalation risk: Beyond the entity-list trajectory, clients probed whether US pressure could force Japan to retaliate with photoresist or semiconductor-related export controls. Speakers assess Tokyo has zero appetite for retaliation; the risk of full-scale escalation is real but not the base case, as Japan views tit-for-tat as a losing game given China's escalation dominance.

Taiwan near-term risk: Clients asked whether recent PLA leadership appointments signal increased readiness for action. Speakers counseled against over-indexing on command structure changes, with the cross-strait dynamic likely contained ahead of the Party Congress next year.

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Positive: Political factors in the country are anticipated to have a positive impact on the macro business environment

Neutral: Political factors in the country are anticipated to have a neutral or negligible impact on the macro business environment

Negative: Political factors in the country are anticipated to have a negative impact on the macro business environment

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